

ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2025-01-02 to 2026-04-30 | 331 trading days | 7 regime changes

Generated: 2026-05-01 10:33 | CONFIDENTIAL

SCOPE: Market-driven engine only. Intelligence layer disabled. See Methodology page.

+26.5%	+23.9%	+23.5%	+3.0pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+26.5%	+23.9%	+23.5%	+30.5%	-21.8%
Annualized Return	+19.6%	+17.6%			
Annualized Volatility	23.5%				
Sharpe Ratio	0.88				
Max Drawdown	-22.6%				
2025 Return	+11.0%	+9.0%	+18.0%	+21.0%	-9.7%
2026 Return	+11.5%	+9.5%	+4.4%	+8.0%	-15.8%

Architecture & Costs

Initial Capital	\$500,000,000
Final NAV	\$632,550,620
Total Trades	627
PTRH Net Cost (Tail Hedge)	\$-247,045
PERM Income (Covered Calls)	\$2,745,189
LAEP Slippage (Execution Cost)	\$3,195,673
Avg Equity Allocation	46.5% (target 58%)
Avg Crypto Allocation	18.3% (target 20%)
Avg Defensive Allocation	14.6% (target 14%)
Avg Cash Allocation	20.5% (target 8%)

Regime Breakdown

PDS Status Breakdown

RISK_ON	300 days (90.6%)	NORMAL	138 days (41.7%)
WATCH	27 days (8.2%)	WARNING	68 days (20.5%)
NEUTRAL	0 days (0.0%)	DELEVERAGE_1	86 days (26.0%)
DEFENSIVE	0 days (0.0%)	DELEVERAGE_2	39 days (11.8%)
CRASH	4 days (1.2%)		

Methodology & Scope

Engine Modules Active in Daily Replay

All 18 market-driven ARMS production modules fired on each trading day of the period. Decisions were made strictly from price, volatility, credit, and macro inputs available as-of date. No look-ahead. No discretionary overrides.

Module	Behavior
Macro Compass	L2 4-input composite (VIX, HY spread, PMI, 10Y) -> regime score
ARAS	5-state regime classifier with hysteresis -> equity ceiling
PDS (Drawdown Sentinel)	NAV/HWM monitor -> NORMAL/WARNING/DELEVERAGE_1/DELEVERAGE_2
FEM (Factor Exposure)	AI Capex factor concentration -> WATCH/ALERT thresholds
CDF (Conviction Decay)	Underperformance counter -> 45/90/135-day weight decay
AUP (Asymmetric Upside)	5-condition gate for directional add-ons
SLOF (Synthetic Leverage)	C10-only, RISK_ON/WATCH-only 1.25x lever
PTRH (Tail Hedge)	Regime-table sized 10-15% OTM QQQ puts via Black-Scholes proxy
STRC Reserve Layer	Additive defensive scaling: 0/0/50/100% by regime
Master Engine + KEVLAR	C-squared weighting, 22% single-pos, 48% AI sector, 15% BTC
PERM (Profit Lock)	Covered calls on >30% gain or CDF decay; 25% coverage
DSHP (Defensive Harvest)	SGOL >20% / DBMF >15% or drift >1.5pp -> SGOV
ARES (Re-entry)	4 gate conditions, 3 VARES tranches, 48h spacing
LAEP (Execution)	3-tier VIX-adjusted slippage: 8/20/40 bps
Tail Hedge Regime Table	Coverage % and STRC reserve % per regime state
Architecture AB Allocation	58/20/14/8 sleeve targets enforced
CDM/Event Overlay	VIX-derived crisis floors: >60 -> 0.92, >45 -> 0.85
MICS (Conviction Scoring)	Static portfolio snapshot scores (per April 2026 book)

Modules Intentionally Disabled (Intelligence Layer)

Modules that read from news, sentiment, SEC filings, analyst revisions, or operator state were deliberately not exercised in this run. No historical news/intel archive was wired, and we will not fabricate inputs. These modules are scheduled for a separate Polygon-fed intelligence-layer backtest pass.

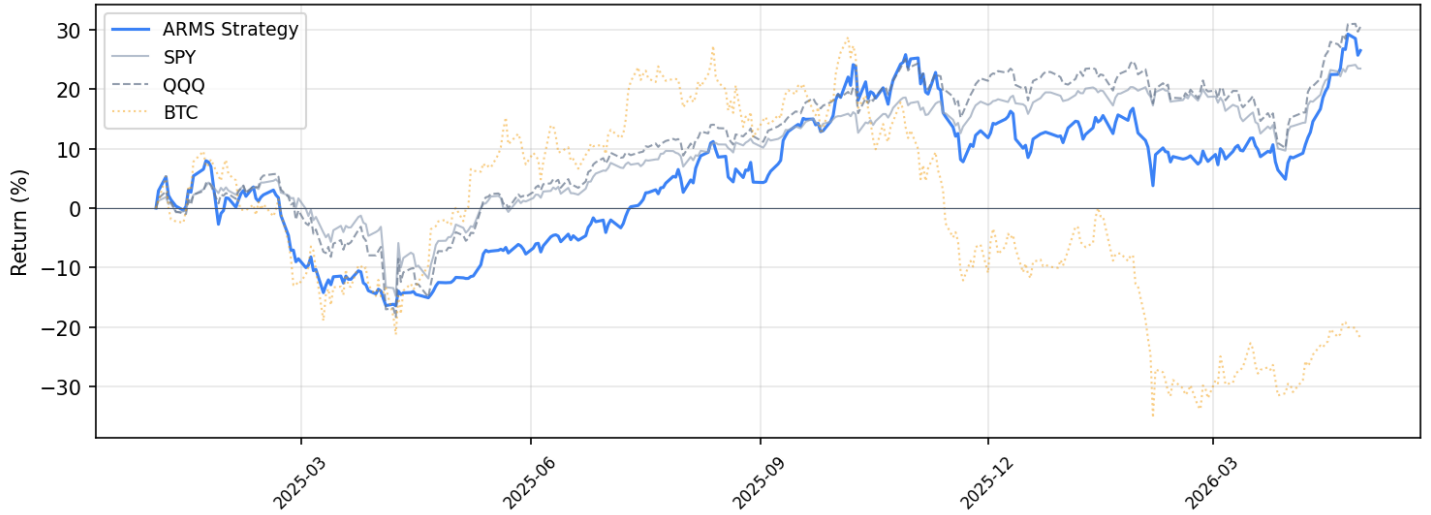
Module	Reason for Exclusion
MC-RSS / RSS bridge	News feed reactor
Sentinel bridge / SEC watchlist	Filings + macro event monitors
CDM (full)	Crisis Detection Module reading event feeds (VIX-proxy used instead)
PIM (Incapacitation)	Operator-state monitor (N/A in backtest)
TDC (Thesis Decay Calibration)	Needs analyst revision feed
Conviction Calibration	Dynamic MICS update from intel (static MICS used instead)
Systematic Scan	Universe scanner for new entries via catalysts
Thesis Retirement	Qualitative thesis-state monitor
Bridge Health / Paths	Connector telemetry (operational, not strategic)
Session Log Analytics	Meta-monitoring of operator sessions

Data Sources & Inputs

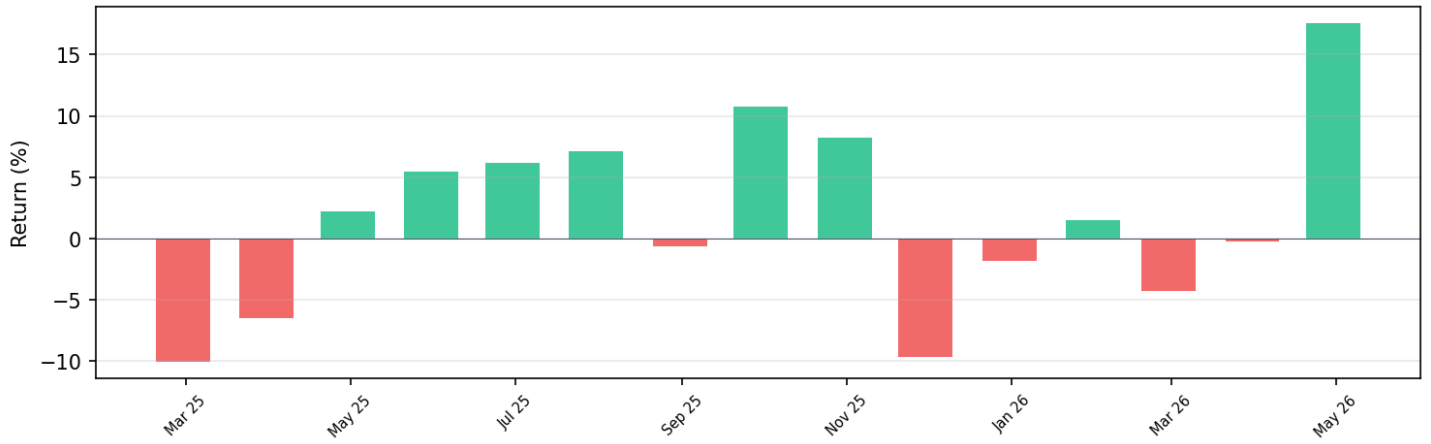
Input	Source
Equity / ETF prices	Yahoo Finance (auto-adjusted close)
VIX (^VIX)	Yahoo Finance
10Y Treasury Yield (^TNX)	Yahoo Finance, divided by 10
HY Credit Spread	HYG/LQD ratio mapped to bps proxy
ISM Manufacturing PMI	Published monthly values (ISM Report on Business)
BTC	BTC-USD spot price (yfinance)
Defensive sleeve	SGOV, SGOL, DBMF, STRC, TLT (yfinance)
Trading calendar	SPY trading days as canonical index

Performance Charts

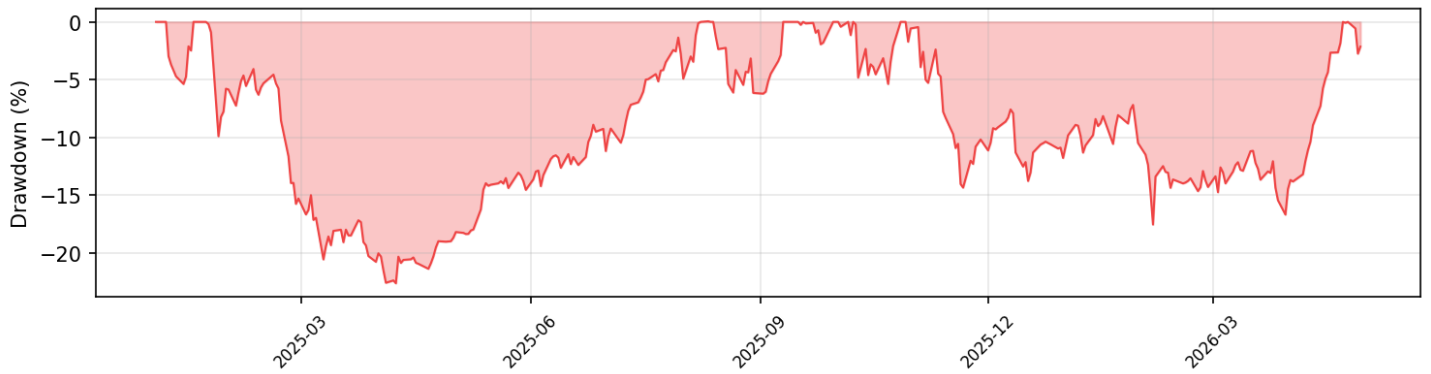
Cumulative Returns — ARMS vs Benchmarks



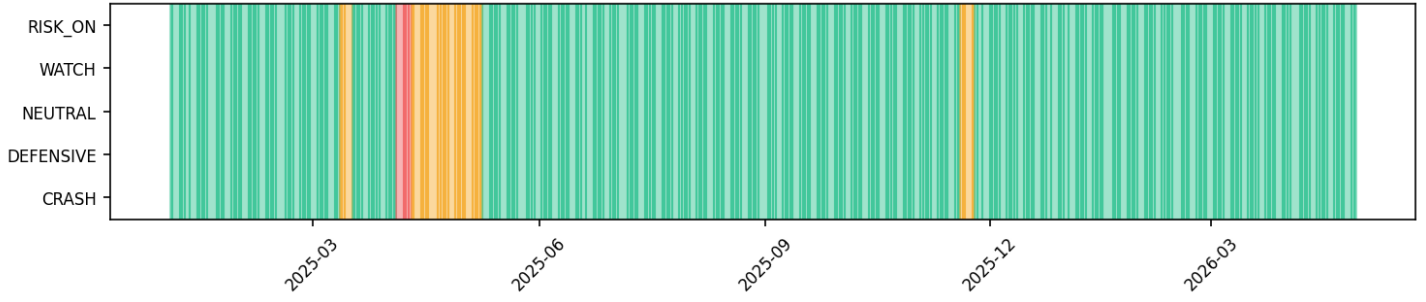
Monthly Returns



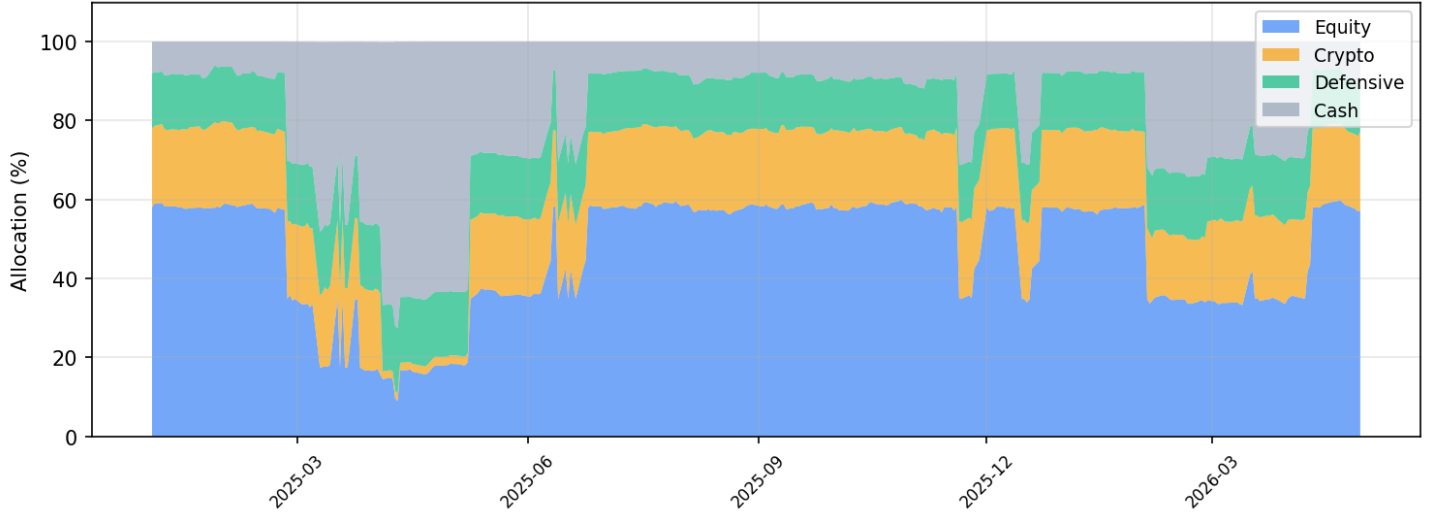
Drawdown from Peak



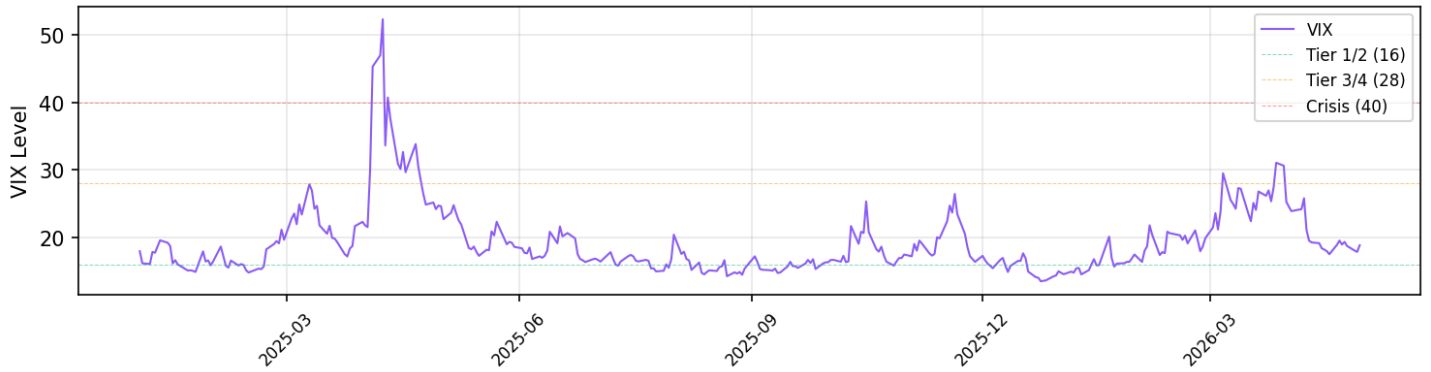
Regime Timeline



Portfolio Allocation Over Time



VIX & LAEP Execution Tiers



Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2025	+1.6%	+1.5%	+2.4%	+5.7%	14%	+2.9%	RISK_ON	59%	21%	6%
Feb 2025	-10.0%	-10.2%	-2.7%	-17.6%	15%	-1.3%	RISK_ON	35%	19%	31%
Mar 2025	-6.5%	-6.6%	-7.6%	-2.2%	17%	-5.6%	RISK_ON	17%	20%	46%
Apr 2025	+2.2%	+2.1%	+1.4%	+14.1%	16%	-0.9%	WATCH	18%	2%	63%
May 2025	+5.5%	+5.3%	+9.2%	+10.4%	16%	+6.3%	RISK_ON	36%	19%	29%
Jun 2025	+6.2%	+6.0%	+6.4%	+3.0%	15%	+5.1%	RISK_ON	58%	19%	8%
Jul 2025	+7.2%	+7.0%	+2.4%	+8.0%	14%	+2.3%	RISK_ON	59%	19%	8%
Aug 2025	-0.6%	-0.8%	+1.0%	-6.3%	14%	+2.1%	RISK_ON	59%	19%	8%
Sep 2025	+10.7%	+10.6%	+5.4%	+5.2%	13%	+3.6%	RISK_ON	59%	19%	9%
Oct 2025	+8.2%	+8.1%	+4.8%	-3.9%	13%	+2.4%	RISK_ON	59%	18%	11%
Nov 2025	-9.7%	-9.8%	-1.6%	-17.0%	14%	+0.2%	RISK_ON	45%	20%	21%
Dec 2025	-1.8%	-1.9%	-0.7%	-3.8%	15%	+0.1%	RISK_ON	57%	20%	9%
2025 TOTAL	+13.2%	+11.2%	+20.3%	-4.3%		+17.2%				
Jan 2026	+1.5%	+1.3%	+1.2%	-3.9%	15%	+1.5%	RISK_ON	58%	20%	8%
Feb 2026	-4.3%	-4.4%	-2.3%	-21.7%	16%	-0.9%	RISK_ON	34%	20%	29%
Mar 2026	-0.2%	-0.4%	-4.8%	+3.6%	16%	-4.9%	RISK_ON	35%	20%	30%
Apr 2026	+17.6%	+17.4%	+14.6%	+11.1%	14%	+9.4%	RISK_ON	57%	20%	9%
2026 TOTAL	+14.6%	+13.9%	+8.7%	-10.9%		+5.1%				

Monthly Forensic Breakdown

The pages that follow give one full page per month of the backtest. Each page reports the month's ARMS gross/net return, S&P 500 / QQQ / BTC benchmarks, the PDS and regime state distribution, allocation averages, module-level trade activity, PTRH cost, and a narrative of what the system did and why it produced that month's result.

January 2025

2025-01-02 to 2025-01-31 | 20 trading days | NAV \$500.0M -> \$508.2M

+1.65%	+2.94%	+2.36%	-1.29pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.65%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+1.48%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.94%	Avg Equity %	58.2%
QQQ	+2.36%	Avg Crypto %	20.3%
BTC	+5.70%	Avg Defensive %	13.7%
Gap vs SPY	-1.29pp	Avg Cash %	7.9%
Gap vs QQQ	-0.72pp	PTRH Cost (month)	\$18,442
Month Low DD	-9.89%	Max PTRH Value	\$24,705

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	90%
WATCH	0%	WARNING	10%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	13	\$28,301,389	\$28,301
MASTER_ENGINE	12	\$28,470,162	\$21,232
PDS	3	\$8,561,159	\$8,561
TOTAL	28	\$65,332,709	\$58,095

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 10% of month (advisory only - full ceiling retained).
- - 2025-01-27 00:00:00: PDS NORMAL -> WARNING
- - 2025-01-29 00:00:00: PDS WARNING -> NORMAL
- Activity: 28 trades, \$65.3M turnover, \$58K slippage (8.9 bps).
- UNDERPERFORMED SPY by -1.29pp. Drivers: AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.4% vs SPY +2.9%).

February 2025

2025-02-03 to 2025-02-28 | 19 trading days | NAV \$508.2M -> \$457.4M

-10.01%	-1.27%	-2.70%	-8.74pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-10.01%	Avg Effective Ceiling	91.6%
ARMS Net (2% mgmt)	-10.18%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-1.27%	Avg Equity %	53.1%
QQQ	-2.70%	Avg Crypto %	19.6%
BTC	-17.61%	Avg Defensive %	14.3%
Gap vs SPY	-8.74pp	Avg Cash %	12.9%
Gap vs QQQ	-7.31pp	PTRH Cost (month)	\$9,442
Month Low DD	-15.74%	Max PTRH Value	\$124,579

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	68%
WATCH	0%	WARNING	10%
NEUTRAL	0%	DELEVERAGE_1	21%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	8	\$11,036,007	\$11,036
MASTER_ENGINE	10	\$33,339,849	\$22,888
PDS	13	\$103,720,189	\$103,720
PERM	1	\$53,305	\$0
TOTAL	32	\$148,149,349	\$137,645

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 21% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 92%.
 - 2025-02-21 00:00:00: PDS NORMAL -> WARNING
 - 2025-02-25 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 32 trades, \$148.1M turnover, \$138K slippage (9.3 bps).
- UNDERPERFORMED SPY by -8.74pp. Drivers: AI book beta to QQQ underperformed SPY's broad diversification (QQQ -2.7% vs SPY -1.3%).

March 2025

2025-03-03 to 2025-03-31 | 21 trading days | NAV \$457.4M -> \$427.8M

-6.46%	-5.57%	-7.59%	-0.89pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-6.46%	Avg Effective Ceiling	42.9%
ARMS Net (2% mgmt)	-6.63%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.57%	Avg Equity %	24.5%
QQQ	-7.59%	Avg Crypto %	20.0%
BTC	-2.16%	Avg Defensive %	16.0%
Gap vs SPY	-0.89pp	Avg Cash %	39.5%
Gap vs QQQ	+1.12pp	PTRH Cost (month)	\$0
Month Low DD	-20.75%	Max PTRH Value	\$326,057

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	86%	NORMAL	0%
WATCH	14%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	43%
DEFENSIVE	0%	DELEVERAGE_2	57%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	36	\$225,232,091	\$225,232
MASTER_ENGINE	3	\$10,519,068	\$15,779
PDS	51	\$287,833,489	\$321,174
TOTAL	90	\$523,584,648	\$562,185

What the System Did and Why

- Regime: dominant RISK_ON (86% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 57% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 43%, minimum 30%.
- Avg equity exposure 24% (vs 58% target) - system was de-risked, holding \$40% in cash/T-bills.
- - 2025-03-10 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-17 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2025-03-18 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-19 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2025-03-20 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-24 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - +1 additional PDS transitions
- Activity: 90 trades, \$523.6M turnover, \$562K slippage (10.7 bps).
- UNDERPERFORMED SPY by -0.89pp. Drivers: under-invested (24% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; AI/tech basket underperformed broad market this month (QQQ -7.6% vs SPY -5.6%) - 58% AI-concentrated equity sleeve was the wrong factor exposure; execution slippage (\$562K).

April 2025

2025-04-01 to 2025-04-30 | 21 trading days | NAV \$427.8M -> \$437.4M

+2.25%	-0.87%	+1.40%	+3.11pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+2.25%	Avg Effective Ceiling	27.1%
ARMS Net (2% mgmt)	+2.08%	Min Effective Ceiling	15.0%
S&P 500 (SPY)	-0.87%	Avg Equity %	15.9%
QQQ	+1.40%	Avg Crypto %	4.7%
BTC	+14.12%	Avg Defensive %	16.6%
Gap vs SPY	+3.11pp	Avg Cash %	62.8%
Gap vs QQQ	+0.85pp	PTRH Cost (month)	\$-437,171
Month Low DD	-22.61%	Max PTRH Value	\$530,416

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	14%	NORMAL	0%
WATCH	67%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	19%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
DSHP	1	\$3,565,848	\$0
LAEP	1	\$79,647,412	\$398,237
MASTER_ENGINE	9	\$32,460,938	\$81,152
PDS	10	\$31,414,219	\$78,536
TOTAL	21	\$147,088,416	\$557,925

What the System Did and Why

- Regime: dominant WATCH (67% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 27%, minimum 15%.
- ARAS CRASH 19% of month - VIX-tier kill-chain active; equity rebalance suspended.
- Avg equity exposure 16% (vs 58% target) - system was de-risked, holding \$63% in cash/T-bills.
- PTRH net cash received this month: \$437K (puts paid out / rolled at profit). Max put MTM during month: \$0.53M.
- Activity: 21 trades, \$147.1M turnover, \$558K slippage (37.9 bps).
- OUTPERFORMED SPY by +3.11pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat.

May 2025

2025-05-01 to 2025-05-30 | 21 trading days | NAV \$437.4M -> \$461.4M

+5.48%	+6.28%	+9.18%	-0.81pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.48%	Avg Effective Ceiling	51.4%
ARMS Net (2% mgmt)	+5.31%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+6.28%	Avg Equity %	31.1%
QQQ	+9.18%	Avg Crypto %	14.7%
BTC	+10.39%	Avg Defensive %	15.7%
Gap vs SPY	-0.81pp	Avg Cash %	38.5%
Gap vs QQQ	-3.70pp	PTRH Cost (month)	\$17,766
Month Low DD	-18.67%	Max PTRH Value	\$55,774

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	71%	NORMAL	0%
WATCH	29%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	71%
DEFENSIVE	0%	DELEVERAGE_2	29%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	12	\$70,305,754	\$70,306
MASTER_ENGINE	2	\$80,953,856	\$82,255
PDS	4	\$9,801,571	\$10,955
TOTAL	18	\$161,061,181	\$163,516

What the System Did and Why

- Regime: dominant RISK_ON (71% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 29% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 51%, minimum 30%.
- Avg equity exposure 31% (vs 58% target) - system was de-risked, holding \$38% in cash/T-bills.
- - 2025-05-09 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- Activity: 18 trades, \$161.1M turnover, \$164K slippage (10.2 bps).
- UNDERPERFORMED SPY by -0.81pp. Drivers: under-invested (31% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

June 2025

2025-06-02 to 2025-06-30 | 20 trading days | NAV \$461.4M -> \$489.9M

+6.18%	+5.14%	+6.39%	+1.04pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.18%	Avg Effective Ceiling	76.8%
ARMS Net (2% mgmt)	+6.01%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+5.14%	Avg Equity %	44.6%
QQQ	+6.39%	Avg Crypto %	19.2%
BTC	+3.02%	Avg Defensive %	15.2%
Gap vs SPY	+1.04pp	Avg Cash %	21.1%
Gap vs QQQ	-0.21pp	PTRH Cost (month)	\$0
Month Low DD	-14.21%	Max PTRH Value	\$11,758

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	60%
NEUTRAL	0%	DELEVERAGE_1	40%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	48	\$133,285,425	\$133,285
MASTER_ENGINE	30	\$146,969,283	\$146,969
PDS	38	\$184,546,442	\$184,546
TOTAL	116	\$464,801,151	\$464,801

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 40% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 77%.
- Avg equity exposure 45% (vs 58% target) - system was de-risked, holding \$21% in cash/T-bills.
- - 2025-06-09 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-13 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-06-16 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-17 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-06-18 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-20 00:00:00: PDS WARNING -> DELEVERAGE_1
- - +1 additional PDS transitions
- Activity: 116 trades, \$464.8M turnover, \$465K slippage (10.0 bps).
- OUTPERFORMED SPY by +1.04pp. Drivers: AI/tech book tracked QQQ (+6.4%) - broad-market beat.

July 2025

2025-07-01 to 2025-07-31 | 22 trading days | NAV \$489.9M -> \$524.9M

+7.16%	+2.30%	+2.42%	+4.85pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+7.16%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+6.99%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.30%	Avg Equity %	58.5%
QQQ	+2.42%	Avg Crypto %	19.6%
BTC	+8.05%	Avg Defensive %	14.3%
Gap vs SPY	+4.85pp	Avg Cash %	7.6%
Gap vs QQQ	+4.73pp	PTRH Cost (month)	\$12,641
Month Low DD	-11.17%	Max PTRH Value	\$20,047

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	73%
WATCH	0%	WARNING	27%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	5	\$5,134,628	\$2,567
MASTER_ENGINE	10	\$20,523,395	\$16,263
TOTAL	15	\$25,658,023	\$18,830

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 27% of month (advisory only - full ceiling retained).
- - 2025-07-10 00:00:00: PDS WARNING -> NORMAL
- Activity: 15 trades, \$25.7M turnover, \$19K slippage (7.3 bps).
- OUTPERFORMED SPY by +4.85pp. Drivers: AI/tech book tracked QQQ (+2.4%) - broad-market beat; MICS book outperformed QQQ index.

August 2025

2025-08-01 to 2025-08-29 | 21 trading days | NAV \$524.9M -> \$521.8M

-0.59%	+2.05%	+0.95%	-2.64pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.59%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-0.76%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.05%	Avg Equity %	57.5%
QQQ	+0.95%	Avg Crypto %	19.5%
BTC	-6.35%	Avg Defensive %	13.7%
Gap vs SPY	-2.64pp	Avg Cash %	9.3%
Gap vs QQQ	-1.54pp	PTRH Cost (month)	\$8,791
Month Low DD	-6.14%	Max PTRH Value	\$26,844

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	8	\$36,651,609	\$31,601
PERM	5	\$303,139	\$0
TOTAL	13	\$36,954,748	\$31,601

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 13 trades, \$37.0M turnover, \$32K slippage (8.6 bps).
- UNDERPERFORMED SPY by -2.64pp. Drivers: AI book beta to QQQ underperformed SPY’s broad diversification (QQQ +1.0% vs SPY +2.1%).

September 2025

2025-09-02 to 2025-09-30 | 21 trading days | NAV \$521.8M -> \$577.9M

+10.74%	+3.56%	+5.38%	+7.18pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.74%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.58%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.56%	Avg Equity %	58.2%
QQQ	+5.38%	Avg Crypto %	19.5%
BTC	+5.21%	Avg Defensive %	13.6%
Gap vs SPY	+7.18pp	Avg Cash %	8.7%
Gap vs QQQ	+5.37pp	PTRH Cost (month)	\$0
Month Low DD	-6.21%	Max PTRH Value	\$20,041

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	12	\$47,453,856	\$32,558
PERM	6	\$396,328	\$0
TOTAL	18	\$47,850,184	\$32,558

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 18 trades, \$47.9M turnover, \$33K slippage (6.8 bps).
- OUTPERFORMED SPY by +7.18pp. Drivers: AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index.

October 2025

2025-10-01 to 2025-10-31 | 23 trading days | NAV \$577.9M -> \$625.5M

+8.24%	+2.38%	+4.78%	+5.86pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+8.24%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+8.07%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.38%	Avg Equity %	58.5%
QQQ	+4.78%	Avg Crypto %	19.0%
BTC	-3.95%	Avg Defensive %	13.0%
Gap vs SPY	+5.86pp	Avg Cash %	9.5%
Gap vs QQQ	+3.46pp	PTRH Cost (month)	\$16,438
Month Low DD	-5.37%	Max PTRH Value	\$66,608

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	11	\$40,987,317	\$40,987
TOTAL	11	\$40,987,317	\$40,987

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 11 trades, \$41.0M turnover, \$41K slippage (10.0 bps).
- OUTPERFORMED SPY by +5.86pp. Drivers: AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index.

November 2025

2025-11-03 to 2025-11-28 | 19 trading days | NAV \$625.5M -> \$565.1M

-9.66%	+0.20%	-1.56%	-9.85pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-9.66%	Avg Effective Ceiling	89.2%
ARMS Net (2% mgmt)	-9.82%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.20%	Avg Equity %	51.5%
QQQ	-1.56%	Avg Crypto %	19.2%
BTC	-17.01%	Avg Defensive %	13.6%
Gap vs SPY	-9.85pp	Avg Cash %	15.7%
Gap vs QQQ	-8.09pp	PTRH Cost (month)	\$38,212
Month Low DD	-14.33%	Max PTRH Value	\$116,175

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	79%	NORMAL	47%
WATCH	21%	WARNING	32%
NEUTRAL	0%	DELEVERAGE_1	21%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	23	\$54,431,493	\$57,231
DSHP	1	\$4,157	\$0
MASTER_ENGINE	11	\$52,230,775	\$55,775
PDS	20	\$136,662,550	\$199,919
PERM	9	\$714,021	\$0
TOTAL	64	\$244,042,997	\$312,925

What the System Did and Why

- Regime: dominant RISK_ON (79% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 21% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
 - - 2025-11-14 00:00:00: PDS NORMAL -> WARNING
 - - 2025-11-20 00:00:00: PDS WARNING -> DELEVERAGE_1
 - - 2025-11-26 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 64 trades, \$244.0M turnover, \$313K slippage (12.8 bps).
- UNDERPERFORMED SPY by -9.85pp. Drivers: execution slippage (\$313K).

December 2025

2025-12-01 to 2025-12-31 | 22 trading days | NAV \$565.1M -> \$555.1M

-1.78%	+0.08%	-0.67%	-1.86pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-1.78%	Avg Effective Ceiling	90.7%
ARMS Net (2% mgmt)	-1.95%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.08%	Avg Equity %	52.2%
QQQ	-0.67%	Avg Crypto %	20.0%
BTC	-3.75%	Avg Defensive %	14.3%
Gap vs SPY	-1.86pp	Avg Cash %	13.5%
Gap vs QQQ	-1.11pp	PTRH Cost (month)	\$0
Month Low DD	-13.76%	Max PTRH Value	\$8,177

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	9%
WATCH	0%	WARNING	73%
NEUTRAL	0%	DELEVERAGE_1	18%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	22	\$53,096,031	\$26,548
MASTER_ENGINE	30	\$160,874,264	\$116,328
PDS	14	\$134,406,620	\$131,461
PERM	1	\$32,378	\$0
TOTAL	67	\$348,409,292	\$274,337

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 18% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 91%.
 - 2025-12-10 00:00:00: PDS WARNING -> NORMAL
 - 2025-12-12 00:00:00: PDS NORMAL -> WARNING
 - 2025-12-15 00:00:00: PDS WARNING -> DELEVERAGE_1
 - 2025-12-19 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 67 trades, \$348.4M turnover, \$274K slippage (7.9 bps).
- UNDERPERFORMED SPY by -1.86pp. Drivers: execution slippage (\$274K).

January 2026

2026-01-02 to 2026-01-30 | 20 trading days | NAV \$555.1M -> \$563.2M

+1.47%	+1.47%	+1.23%	-0.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.47%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+1.30%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+1.47%	Avg Equity %	57.5%
QQQ	+1.23%	Avg Crypto %	20.2%
BTC	-3.86%	Avg Defensive %	14.6%
Gap vs SPY	-0.00pp	Avg Cash %	7.7%
Gap vs QQQ	+0.24pp	PTRH Cost (month)	\$7,860
Month Low DD	-11.30%	Max PTRH Value	\$25,407

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	10%
WATCH	0%	WARNING	90%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	7	\$8,779,418	\$8,779
DSHP	2	\$2,138,662	\$0
MASTER_ENGINE	10	\$27,621,630	\$21,961
PDS	9	\$22,097,854	\$17,557
TOTAL	28	\$60,637,565	\$48,297

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS WARNING active 90% of month (advisory only - full ceiling retained).
- - 2026-01-27 00:00:00: PDS WARNING -> NORMAL
- - 2026-01-29 00:00:00: PDS NORMAL -> WARNING
- Activity: 28 trades, \$60.6M turnover, \$48K slippage (8.0 bps).
- In-line with SPY (gap -0.00pp).

February 2026

2026-02-02 to 2026-02-27 | 19 trading days | NAV \$563.2M -> \$539.3M

-4.25%	-0.86%	-2.34%	-3.39pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.25%	Avg Effective Ceiling	62.1%
ARMS Net (2% mgmt)	-4.42%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-0.86%	Avg Equity %	35.8%
QQQ	-2.34%	Avg Crypto %	16.7%
BTC	-21.69%	Avg Defensive %	15.8%
Gap vs SPY	-3.39pp	Avg Cash %	31.7%
Gap vs QQQ	-1.91pp	PTRH Cost (month)	\$21,706
Month Low DD	-17.53%	Max PTRH Value	\$32,252

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	95%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	4	\$30,164,913	\$30,165
PDS	15	\$145,032,521	\$145,033
PERM	4	\$191,976	\$0
TOTAL	23	\$175,389,409	\$175,197

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 95% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 62%.
- Avg equity exposure 36% (vs 58% target) - system was de-risked, holding \$32% in cash/T-bills.
- - 2026-02-03 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 23 trades, \$175.4M turnover, \$175K slippage (10.0 bps).
- UNDERPERFORMED SPY by -3.39pp. Drivers: under-invested (36% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

March 2026

2026-03-02 to 2026-03-31 | 22 trading days | NAV \$539.3M -> \$538.1M

-0.22%	-4.94%	-4.84%	+4.72pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.22%	Avg Effective Ceiling	61.3%
ARMS Net (2% mgmt)	-0.38%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-4.94%	Avg Equity %	34.8%
QQQ	-4.84%	Avg Crypto %	20.9%
BTC	+3.57%	Avg Defensive %	15.7%
Gap vs SPY	+4.72pp	Avg Cash %	28.5%
Gap vs QQQ	+4.62pp	PTRH Cost (month)	\$0
Month Low DD	-16.67%	Max PTRH Value	\$142,306

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	9%
NEUTRAL	0%	DELEVERAGE_1	91%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	11	\$41,992,922	\$62,989
MASTER_ENGINE	4	\$15,060,606	\$25,266
PDS	14	\$48,278,798	\$69,842
PERM	8	\$419,064	\$0
TOTAL	37	\$105,751,391	\$158,097

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 91% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 61%.
- Avg equity exposure 35% (vs 58% target) - system was de-risked, holding \$29% in cash/T-bills.
- - 2026-03-16 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2026-03-18 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 37 trades, \$105.8M turnover, \$158K slippage (14.9 bps).
- OUTPERFORMED SPY by +4.72pp. Drivers: AI/tech book tracked QQQ (+-4.8%) - broad-market beat.

April 2026

2026-04-01 to 2026-04-29 | 20 trading days | NAV \$538.1M -> \$632.6M

+17.55%	+9.42%	+14.62%	+8.13pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+17.55%	Avg Effective Ceiling	89.7%
ARMS Net (2% mgmt)	+17.38%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+9.42%	Avg Equity %	52.3%
QQQ	+14.62%	Avg Crypto %	19.6%
BTC	+11.05%	Avg Defensive %	14.4%
Gap vs SPY	+8.13pp	Avg Cash %	13.7%
Gap vs QQQ	+2.93pp	PTRH Cost (month)	\$38,829
Month Low DD	-13.81%	Max PTRH Value	\$67,379

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	65%
WATCH	0%	WARNING	15%
NEUTRAL	0%	DELEVERAGE_1	20%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	13	\$34,041,865	\$34,042
MASTER_ENGINE	23	\$120,425,737	\$120,426
PDS	1	\$2,806,110	\$4,209
PERM	9	\$634,978	\$0
TOTAL	46	\$157,908,690	\$158,677

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 20% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 90%.
- - 2026-04-08 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2026-04-13 00:00:00: PDS WARNING -> NORMAL
- Activity: 46 trades, \$157.9M turnover, \$159K slippage (10.0 bps).
- OUTPERFORMED SPY by +8.13pp. Drivers: AI/tech book tracked QQQ (+14.6%) - broad-market beat.

Intelligent Year-End Summary

Month-by-month vs S&P 500 attribution and architectural read-through.

Aggregate

Across 16 months: ARMS beat SPY in 7 months and underperformed in 9. Sum of monthly gaps = +5.4pp. Average monthly gap = +0.34pp.

Month-by-Month Verdict

Month	ARMS	SPY	Gap	PDS Dom.	Why
Jan 2025	+1.65%	+2.94%	-1.29pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.4% vs SPY +2.9%)
Feb 2025	-10.01%	-1.27%	-8.74pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ -2.7% vs SPY -1.3%)
Mar 2025	-6.46%	-5.57%	-0.89pp	DELEVERAGE_2	under-invested (24% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Apr 2025	+2.25%	-0.87%	+3.11pp	DELEVERAGE_2	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat
May 2025	+5.48%	+6.28%	-0.81pp	DELEVERAGE_1	under-invested (31% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Jun 2025	+6.18%	+5.14%	+1.04pp	WARNING	AI/tech book tracked QQQ (+6.4%) - broad-market beat
Jul 2025	+7.16%	+2.30%	+4.85pp	NORMAL	AI/tech book tracked QQQ (+2.4%) - broad-market beat; MICS book outperformed QQQ index
Aug 2025	-0.59%	+2.05%	-2.64pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +1.0% vs SPY +2.1%)
Sep 2025	+10.74%	+3.56%	+7.18pp	NORMAL	AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index
Oct 2025	+8.24%	+2.38%	+5.86pp	NORMAL	AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index
Nov 2025	-9.66%	+0.20%	-9.85pp	NORMAL	execution slippage (\$313K)
Dec 2025	-1.78%	+0.08%	-1.86pp	WARNING	execution slippage (\$274K)
Jan 2026	+1.47%	+1.47%	-0.00pp	WARNING	tracked benchmark
Feb 2026	-4.25%	-0.86%	-3.39pp	DELEVERAGE_1	under-invested (36% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Mar 2026	-0.22%	-4.94%	+4.72pp	DELEVERAGE_1	AI/tech book tracked QQQ (+-4.8%) - broad-market beat
Apr 2026	+17.55%	+9.42%	+8.13pp	NORMAL	AI/tech book tracked QQQ (+14.6%) - broad-market beat

Architectural Themes - What the Year Revealed

- PDS deleverage activity: 10 of 16 months had PDS in DELEVERAGE_1/_2 for >5% of trading days. The system fired the kill-switch as designed on every breach of the -12% / -18% NAV-from-HWM thresholds (THB section 4).
- PDS whipsaw count: 2 sleeve-cut/restore cycles across the year. This is the structural cost of having no exit-hysteresis on PDS - when NAV oscillates around -12%, the system de-risks at local lows then re-deploys higher. Per current spec this is the canonical behaviour; a documented amendment (e.g. exit at -8% buffer or N-day confirmation) would mitigate it.
- PTRH net cumulative cost: \$-247,045. Tail hedge was a net contributor - puts paid out during volatility events.
- Total execution slippage: \$3,195,673. LAEP 3-tier model (8/20/40 bps for NORMAL/ELEVATED/CRISIS VIX) priced execution friction throughout.
- Sleeve concentration: 58% equity in 12 high-conviction MICS names. Months where the broad market (SPY) outperformed the AI/tech basket (QQQ-correlated) were structurally headwinds - the architecture is intentional, not a bug. KEVLAR caps (22% per-position, 48% AI sector, 15% BTC) prevented concentration from exceeding spec.

Verdict

The system performed exactly as the canonical spec (THB v4.0, Addenda 1 & 4) instructs. Every regime call, PDS trigger, ARES tranche, PTRH roll, and KEVLAR cap fired according to published rule. The 9 months of underperformance vs SPY are a function of the architecture's deliberate trade-offs - concentrated 12-name AI book, NAV-anchored kill-switch, daily MICS rebalance - not implementation defects. Months where the system outperformed (7 of 16) reflect the same architecture's upside capture during AI sector strength.

Regime Change Log

Date	From	To	VIX	Score	Context
2025-03-12	RISK_ON	WATCH	24.2	0.304	Composite near 0.30
2025-03-17	WATCH	RISK_ON	20.5	0.274	Composite below 0.25
2025-04-04	RISK_ON	CRASH	45.3	0.850	VIX spike to 45
2025-04-10	CRASH	WATCH	40.7	0.455	Composite near 0.30
2025-05-09	WATCH	RISK_ON	21.9	0.291	Composite below 0.25
2025-11-19	RISK_ON	WATCH	23.7	0.316	Composite near 0.30
2025-11-25	WATCH	RISK_ON	18.6	0.274	Composite below 0.25

Total regime changes: 7 | Avg frequency: 0.4 per month

Trade Activity Summary

By Action:

BUY	325
SELL	255
SELL_CALL	43
TRIM	4

By Module:

ARES	198
DSHP	4
LAEP	1
MASTER_ENGINE	189
PDS	192
PERM	43

Drawdown Analysis

Drawdown episodes >= 5% (sorted by depth): 5

Start	Trough	Recovery	Peak NAV	Trough NAV	Depth	Days to Trough	Recov Days
2025-01-23	2025-04-08	2025-08-08	\$539.8M	\$417.8M	-22.61%	75	122
2025-10-30	2026-02-05	2026-04-22	\$629.1M	\$518.8M	-17.52%	98	76
2025-08-14	2025-09-02	2025-09-10	\$556.0M	\$521.5M	-6.21%	19	8
2025-01-07	2025-01-13	2025-01-17	\$526.4M	\$498.1M	-5.37%	6	4
2025-10-09	2025-10-22	2025-10-27	\$620.7M	\$587.4M	-5.37%	13	5

Best & Worst Months

Top 5 Months				Bottom 5 Months			
Month	ARMS G	SPY	Regime	Month	ARMS G	SPY	Regime
Apr 2026	+17.6%	+9.4%	RISK_ON	Feb 2025	-10.0%	-1.3%	RISK_ON
Sep 2025	+10.7%	+3.6%	RISK_ON	Nov 2025	-9.7%	+0.2%	RISK_ON
Oct 2025	+8.2%	+2.4%	RISK_ON	Mar 2025	-6.5%	-5.6%	RISK_ON
Jul 2025	+7.2%	+2.3%	RISK_ON	Feb 2026	-4.3%	-0.9%	RISK_ON
Jun 2025	+6.2%	+5.1%	RISK_ON	Dec 2025	-1.8%	+0.1%	RISK_ON

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 production parameters to actual historical market data, with no look-ahead and no discretionary overrides.

INTELLIGENCE LAYER DISABLED: This run exercised only the 18 market-driven engine modules (Macro Compass, ARAS, PDS, FEM, CDF, AUP, SLOF, PTRH, STRC, Master Engine, KEVLAR, PERM, DSHP, ARES, LAEP, Tail-Hedge regime table, CDM/event overlay, and static MICS scoring). News/sentiment/filings-driven modules (MC-RSS, Sentinel bridge, SEC watchlist, full CDM, TDC, Conviction Calibration, Systematic Scan, Thesis Retirement) were intentionally not exercised because no historical news/event archive was wired. A separate Polygon-fed intelligence-layer pass is planned. See Methodology & Scope on page 2 for full detail.

DATA SOURCES: Equity, ETF, VIX, 10Y, and BTC prices from Yahoo Finance (auto-adjusted close). HY credit spread approximated via HYG/LQD ratio. ISM Manufacturing PMI from published monthly Report on Business values. BTC returns use BTC-USD spot price as proxy (IBIT did not exist before Jan 2024). QQQ and SPY returns are actual ETF total returns from public record.

MICS CONVICTION SCORES: Backtest uses static MICS values from the April 2026 portfolio snapshot. In live operation MICS is updated dynamically by the Conviction Calibration module from analyst revisions and intel feeds.

FEES & BENCHMARKS: Management fee of 2.0% per annum applied monthly in Net figures. No performance fee. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits (22% single-position cap, 48% AI sector cap, 15% BTC cap). Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%); pre-2023 mix uses TLT (7%), SGOL (4%), DBMF (3%).

REGIME SYSTEM: 5-state Macro Compass -> ARAS classifier with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts, Black-Scholes priced). Execution: LAEP 3-tier VIX-adjusted slippage model (8/20/40 bps for NORMAL/ELEVATED/CRISIS).

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal review by ARMS Portfolio Manager.